

Investing in the stock market was seen as a gamble – the tip sheets gave you hot tips which would double your money overnight. The relentless coverage of the stock market minute by minute by the TV channels, the brokers talking about what's hot, and the breathless anchors who celebrated a rising Sensex, all made average salaried people think like traders and not investors. We all need to remember this: We are not stock market traders or speculators. There is a role for day traders and speculators in a stock market – but you and I are not traders. We are investors. Understand that difference.

A speculator must watch the market minute to minute, and periodically look at her mobile and exclaim a four-letter word. Or pump a fist with a Yessssss! If you are doing any of that you're reading the wrong book. This book is about investing and not stock market trading.

Look, we don't have large lump sums to invest. Most of us get a salary and out of that we save something every month. ***We don't need a lot of money first to start investing.*** We need a lot of little money streams to keep gathering to make a large corpus. Even if you begin with just Rs 1,000 a month, it is Rs 12,000 more a year that you would have had a year ago. Most people admit to being able to save at least Rs 5,000–10,000 a month. And that's right after they tell me, 'Arrey, where is the money to invest?'

The important thing to do is to start rather than wait for that golden moment when you have a big amount to hit the market with. Your cash flow system will tell you how much you can easily save each month. That's the amount you begin with. We'll talk about how much you can save and how much you need to save in the chapter on retirement.

What if ...

If you think about it, creating that emergency fund and buying all those insurance covers are a bit like using a seat belt. We don't know when an accident will happen, or what kind it will be, but the seat belt will prevent the unavoidable accidents from harming you to a certain extent.

Of course, if a giant truck wants to sniff the trunk of your car through the front windshield, there is nothing much you can do. But a seat belt does prevent